

# Lecture Notes, Week 7: The Limits of Anarchy

ISS 2440: Introduction to Philosophy, Politics, Economics, and Law · Fall 2026

Monday, September 28 – Friday, October 2, 2026

**What these notes cover:** the three Week 7 lectures, in both sections. They ask where states come from and what could justify one. On Monday, Mancur Olson's stationary bandit: a bandit who settles down has a stake in his victims' output, so he taxes instead of looting, keeps rival bandits out, and supplies some public goods. The same logic gives the case for hereditary monarchy and explains why a democratic majority takes less than an autocrat. On Wednesday, why farming produced states in some places and not in others: states grew where farmers relied on crops a tax collector could find, seize, and store, cereals rather than roots and tubers (Mayshar, Moav, and Pascali, 2022). On Friday, James Buchanan's contractarian answer to the second question: in anarchy people waste resources on attack and defense, and everyone gains from a contract that settles who owns what. Both theories end at the same problem: whoever is strong enough to enforce the rules is strong enough to break them.

| Lecture                 | Topic                                           | Sections |
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| Monday, September 28    | The stationary bandit                           | 1–9      |
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| Friday, October 2       | The social contract                             | 18–26    |

## Monday, September 28: The stationary bandit

Mancur Olson's answer to the question of where states come from: from bandits. Competing bandits plunder a territory bare. A bandit who settles down has a stake in his victims' output, so he taxes instead of looting, keeps other bandits out, and supplies some public goods. The same logic gives the classic case for hereditary monarchy, shows where that case breaks down (short horizons, Leopold's Congo), and explains why a democratic majority takes less than an autocrat. It also suggests why rich anarchies are so hard to find.

### 1. Roving bandits

- Two accounts of how states begin. The **contractarian** account (Hobbes, Locke, Rousseau, and later this week Buchanan): people agree to create a government to escape the war of all against all. Olson's account: the state grows out of banditry, and nobody agrees to anything.
- France in the Hundred Years' War (1337–1453). Between battles, unpaid soldiers of both sides roamed the countryside in armed bands (the *écorcheurs*, "flayers"), plundering peasants and minor lords.
  - In 1445 Charles VII took selected companies into a permanent army paid from regular taxation. Pillage declined, though it did not stop at once.
  - Which is easier to plan around: a regular tax, or soldiers who arrive without warning?
- Olson found his puzzle in 1920s China, where people in the domain of the warlord Feng Yu-hsiang preferred him to the roving bandits he fought. Olson (1993, p. 568): "Why should warlords, who were stationary bandits continuously stealing from a given group of victims, be preferred, by those victims, to roving bandits who soon departed?"
- **Roving bandit**: comes once and moves on (Vikings sacking a monastery, barbarians raiding the late Roman Empire). He takes everything he can find, because whatever he leaves, the next band will take. The farmers hide, flee, and stop planting.
- **Stationary bandit**: comes back every year. He takes a share, a tax, because farmers who keep the rest keep planting. And he keeps the other bandits out.
- The economics. Competing bandits impose a **negative externality** on one another: a bandit who strips a farm ignores that the farmer will now produce less for the next bandit  $\Rightarrow$  too much plunder. The tax base is a **commons**, and competing bandits overgraze it. A single bandit bears the whole loss from overtaking, so he holds back.

### 2. Monopoly in the supply of bads

- A monopolist earns its profit by producing less and charging more. When the product is a good, the restriction is a loss to society, which is the case for antitrust law.
- Buchanan turned the argument around. "A Defense of Organized Crime?" (1973): "Monopoly in the sale of ordinary goods and services is socially inefficient because it restricts output or supply. [...] If monopoly in the supply of 'goods' is socially undesirable, monopoly in the supply of 'bads' should be socially desirable, precisely because of the output restriction."

- Plunder is a bad. Competing bandits supply more of it than a monopolist would.
- Debated in class: if we count drug use as a social bad, and the market cannot be stamped out at a reasonable cost, should the police go after the small dealers and new entrants and leave the dominant cartel alone?
  - For: a monopolist raises the price and sells less, and one cartel has no turf wars to fight.
  - Against: addiction may make demand insensitive to price (though users do respond to price, and people who have not yet started are not addicted), and a higher price can push addicts into theft to pay for the drug. The police would also be in tacit partnership with a drug lord.
  - Buchanan's own caveat: "In its strictest interpretation, the analysis carries no policy implications at all."
- The same logic explains organized crime. Extortion is a tax, and a mafia keeps rival extortionists off its territory to protect its tax base  $\Rightarrow$  gangs divide cities into areas of influence.

### 3. The first blessing of the invisible hand

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- From roving to stationary: the Danes in England. The English paid the raiders to leave (the Danegeld), from 10,000 pounds in 991 to 48,000 in 1012. Swein Forkbeard conquered England in 1013, and his son Cnut was king by 1016. In 1018 a last, larger payment sent most of the army back to Denmark; forty ships stayed with Cnut.
  - Kipling, "Dane-Geld" (1911): "if once you have paid him the Dane-geld / You never get rid of the Dane." In Olson's version, the Dane becomes your king.
  - A manuscript of about 1031 shows angels crowning Cnut. Olson: these "violent entrepreneurs" give themselves exalted titles and "sometimes even claim to rule by divine right."
- Olson (1993, p. 568): "the rational, self-interested leader of a band of roving bandits is led, as though by an invisible hand, to settle down, wear a crown, and replace anarchy with government."
  - Nobody sets out to found a state. Competition among bandits, and the gain from monopolizing theft, produce one. The claim to legitimacy comes afterwards.
  - Why no social contract? A band of 50 or 100 people can keep order by agreement (last week's whalers were such a group). In a society of a million, each person would get about one-millionth of the gain from a peaceful order but bear the full cost of helping to provide it  $\Rightarrow$  government for large groups arises from "rational self-interest among those who can organize the greatest capacity for violence."
- Olson does not condemn the stationary bandit: he beats the alternative. History until recently "has been mostly a story of the gradual progress of civilization under stationary bandits interrupted by occasional episodes of roving banditry" (p. 569).
- The wolf and the rancher. Some writers speak of a "predatory state." Olson (p. 569): the stationary bandit "is not like the wolf that preys on the elk, but more like the rancher who makes sure that his cattle are protected and given water." The rancher still sells the cattle, but he does not kill the whole herd.

### 4. The case for monarchy

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- Week 4: owners look after what they own because they bear the losses and keep the gains; they are the **residual claimants**. Carry the argument into politics and you get an argument for monarchy: a king who owns the realm will run it well.
- Olson opens his article with a village monarchist in southern Italy (Banfield, 1958): "Monarchy is the best kind of government because the King is then owner of the country. Like the owner of a house, when the wiring is wrong, he fixes it." Nobody renovates an apartment they will leave next year.
- Hobbes, *De Cive* (1642): "we cannot on better condition be subject to any, than one whose interest depends upon our safety, and welfare; and this then comes to passe when we are the inheritance of the Ruler; for every man of his own accord endeavours the preservation of his inheritance."
- Jean Bodin (1530–1596), one of the first theorists of sovereignty, used the argument for hereditary over elected rule. *Six Books of the Commonwealth* (1576), VI.5, in modern-English paraphrase: "Rulers chosen by election know that their reign will be short and that they cannot leave their children any part of the state except what they can take and retain through fraud. They therefore freely grant assets to friendly magistrates, or use public sales and gifts to turn the state's revenues and possessions to their own advantage."
  - A hereditary king expects his children and grandchildren to rule after him, which lengthens his horizon further.
- Objections raised in class:
  - Polybius: kingship degenerates into tyranny.
  - A bad hereditary ruler rules for life; a bad elected one can be voted out at the next election.
  - Rulers act out of pride, which can produce vanity projects as easily as good works.
- In Bodin's defense: elected legislators face his problem today. Each member of Congress gains from bringing

federal money to the district and bears almost none of the cost to the national budget (pork-barrel spending).

## 5. Why kings build roads

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- The stationary bandit keeps a share of every extra bushel, so when his subjects get richer, so does he. Olson calls this an **encompassing interest**.
- He therefore supplies public goods: order, roads, courts, defense against other bandits. The Via Appia, begun in 312 BC as a military road, carried merchants for centuries.
- But he supplies too few, because he counts only his own share of the gain. Olson's **reciprocal rule**: a ruler who collects one-third of any increase in national income spends on public goods only up to the point where the last dollar raises national income by \$3. Every project that would return between \$1 and \$3 goes unbuilt.
- He also taxes as much as he can: up to the **revenue-maximizing rate**, beyond which a higher rate shrinks income so much that collections fall.

## 6. Long live the king

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- The owner's incentive works only if the owner expects to stay. A ruler who expects to last one more year gains by seizing any asset whose tax yield over that year is less than its total value, by repudiating his debts, and by debasing the currency. At the limit, Olson writes, "his incentives are those of a roving bandit and that is what he becomes."
- He can promise not to, but no independent judge can hold an autocrat to a promise  $\Rightarrow$  the sovereign's commitment problem from Week 5. The ruler strong enough to protect you is strong enough to take from you.
- Hence the subjects' sincerity when they say "long live the king," and the value of **dynastic succession**: an heir lengthens the ruler's horizon, and a known heir makes a succession crisis less likely.
- In practice, royal tenure was precarious. In England, Richard II was deposed and killed and Charles I was executed; in France, Henri IV was assassinated and Louis XVI was guillotined. The risk of such an end shortens the horizon on which the case for monarchy depends.

## 7. The ruler as owner: Leopold's Congo

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- The closest thing to a country owned by one man: the Congo Free State (1885–1908), the personal possession of King Leopold II of Belgium, not a Belgian colony.
- Villages were forced to deliver quotas of wild rubber, and shortfalls were punished with violence, including cutting off hands. Photographs of the mutilated, reproduced in Mark Twain's *King Leopold's Soliloquy* (1905), fed one of the first international human-rights campaigns. Belgium annexed the territory in 1908; only from then on was it the Belgian Congo.
- Ownership gives a ruler an interest in revenue, not in the people who produce it. Leopold may also have doubted that he would keep the colony, which would shorten his horizon. Either way, a revenue-maximizing owner can be brutal.

## 8. Democracy and extraction

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- Olson assumes democratic politicians are as self-interested as the bandit. An autocrat's income is tax revenue; a governing majority also earns **market income** from work and trade. Taxes that shrink output shrink the majority's own earnings  $\Rightarrow$  its interest is more encompassing, and it prefers a lower tax rate than the autocrat.
- Olson's arithmetic (p. 570). Suppose the revenue-maximizing tax rate is one-third, and the majority earns one-third of national income in the market. At that rate, the last dollar of tax reduces national income by \$3.
  - The autocrat loses a third of that \$3, or \$1, through lower collections elsewhere: he breaks even and stops there.
  - A majority at the same rate loses the same \$1 plus \$1 of its own market income: it pays \$2 for the last \$1 of tax, so it chooses a lower rate.
- Olson's caveat: the argument holds for an encompassing majority, not for narrow interests. A typical U.S. lobby represents under 1% of national income, so by the reciprocal rule it keeps pushing until the social cost of its gains is a hundred times what it wins. Democracies can redistribute a great deal; what they lack is a single leader with the incentive to extract the maximum.
- Succession. Democracies have routine rules for handing over power; autocracies do not. An autocrat who announces a retirement date sets an end date, and cooperation unravels as the end approaches (Week 5). He also tempts his heir to strike first. Democratic politics may be noisier, but succession is easier because less is at stake.
- Olson's horizon argument cuts against **term limits**. A legislator who expects to serve for decades has a stake in the long run; one barred from reelection has a shorter horizon and less to lose from taking what he can now  $\Rightarrow$  the

case for term limits must rest on something else, such as preventing the entrenchment of power.

- Olson’s conclusion: property and contract rights are secure only under a government strong enough to last and restrained from violating those rights. The institutions this requires (independent courts, the rule of law, predictable succession) are the same ones a lasting democracy requires. Such institutions protect rights beyond any one leader’s term.

## 9. The limits of anarchy

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|              | State                                 | Anarchy                                      |
|--------------|---------------------------------------|----------------------------------------------|
| Successful   | The United States; Western Europe     | ?                                            |
| Unsuccessful | North Korea; Somalia under Siad Barre | Somalia after 1991; China under the warlords |

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- “Successful” here means rich and peaceful, with little crime. Somalia after 1991 did better than under Barre (Week 6), but nobody would call it a success by this measure.
- The empty cell: there is no large, rich, peaceful society without a state. Olson’s logic suggests why. A rich anarchy attracts bandits; one of them wins, monopolizes violence, and becomes the state. Order and institutions built before the state may still help it become a successful one.
- Medieval Iceland (its assembly, the Althing, dates from about 930) is the usual counterexample. By medieval standards it worked, but it was small and remote, with little to loot, and it did not last: its chieftains submitted to the king of Norway in 1262–64.

## Wednesday, September 30: Where states arose: surplus or appropriability?

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Farming produced states in some places and not in others. The standard answer, the surplus theory, predicts states where land is most productive. Mayshar, Moav, and Pascali (2022) argue instead that states grew where farmers relied on crops a tax collector could find, seize, and store: cereals, not roots and tubers. Olson's stationary bandit needs a tax base he can take. The same logic suggests that AI, by moving production out of the market and into the household, may make some output harder to tax.

### 10. The puzzle

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- The **Neolithic Revolution**: the shift from hunting and gathering to farming and herding, beginning around 10,000 BCE in the Fertile Crescent and spreading over thousands of years. “Revolution” is a stretch for something that slow.
- After it, some farming societies built states: pyramids, courts, scribes, tax collectors. Others farmed for millennia without any political authority above the village.
- Two questions: how did farming lead to states, and why did some farming societies never get one?

### 11. The surplus story

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- The standard account, which Mayshar, Moav, and Pascali trace back to Adam Smith and which Vere Gordon Childe and Jared Diamond made famous: farming  $\Rightarrow$  more food per farmer  $\Rightarrow$  a **surplus**, food beyond the farmers' own needs  $\Rightarrow$  the surplus feeds rulers, soldiers, and scribes  $\Rightarrow$  the state.
- Its prediction: states should arise where land is most productive.
- Diamond, *Guns, Germs, and Steel* (1997): “plant and animal domestication meant much more food and hence much denser human populations. The resulting food surpluses [...] were a prerequisite for the development of settled, politically centralized, socially stratified, economically complex, technologically innovative societies.”
- Ancient Egypt fits the story: emmer wheat and barley along the Nile, pharaohs, pyramids, and scribes. A model from the tomb of the steward Meketre (c. 1850 BC) shows men carrying sacks into a granary while scribes at the door record every one.
- New Guinea does not fit. By about 4500 BCE both Egypt and the New Guinea highlands had farming. Egypt built a centralized state; the highlands stayed divided among warring groups, with nothing like a pharaoh  $\Rightarrow$  farming alone does not explain the difference.

### 12. Two problems with the surplus story

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- **Malthusian adjustment.** Thomas Robert Malthus, *An Essay on the Principle of Population* (1798): when people eat better, they have more children and fewer of them die. Land is fixed, so each extra farmer adds less (diminishing returns), and population grows until food per person is back at **subsistence**.
  - Better farming raises food per person at the old population. Population then grows until food per person returns to subsistence  $\Rightarrow$  more people, and still no surplus.
  - The Neolithic transition took thousands of years, so population had plenty of time to adjust.
  - Malthus described most of human history well. After the Black Death (1347–51) killed between a third and a half of Europe's population, wages rose; as population recovered, they fell back. He was wrong about the two centuries after he wrote: population and income have both risen.
- **The surplus need not come first.** A farmer who must store grain to get through the year is exposed. A bandit or a king can seize part of the store even when every farmer lives at subsistence. Some farmers die or leave; with fixed land and diminishing returns, each remaining farmer produces more; the farming population settles at a lower level, and its output now exceeds its needs. The elite eats the difference.
  - Mayshar, Moav, and Pascali (2022, p. 1093): the surplus “is not a prerequisite for the emergence of a tax-levying elite; it is rather that once the opportunity to appropriate arises, the elite generates the food surplus on which it can flourish.”
  - If the elite also protects farmers from bandits, the farming population need not fall at all.
- Why don't the farmers fight back? It depends on the technology of violence. Bronze weapons were expensive (copper and tin had to be mined and often traded over long distances), so a small armed elite could dominate unarmed farmers. The balance between offense and defense, and the economies of scale in organized violence, decide who can tax whom.

### 13. The appropriability story

- Mayshar, Moav, and Pascali: what matters is not how much the land produces but whether its crop can be taxed. **Appropriability** is how easily others can find, count, seize, and carry off output.
- Their chain: grain must be stored  $\Rightarrow$  it is easy to find and seize  $\Rightarrow$  an elite taxes the harvest: the state  $\Rightarrow$  population adjusts, and a surplus feeds the elite.
- Their prediction: land with a **comparative advantage** in appropriable crops is more likely to come under state rule. The comparison is between crops on the same land, not between rich and poor land.
- “Cereal grains can be stored and, because they are harvested seasonally, have to be stored” (p. 1092).

|            | Cereals                                  | Roots and tubers                                                            |
|------------|------------------------------------------|-----------------------------------------------------------------------------|
| Examples   | wheat, barley, rice, maize, millet       | cassava, yam, taro, sweet potato                                            |
| Harvest    | in one season, all at once               | no fixed season; dug up as needed                                           |
| Storage    | kept in a granary until the next harvest | left in the ground (cassava, up to two years); rots within days once dug up |
| Visibility | above ground: a field can be assessed    | below ground: hard to see or count                                          |
| Transport  | dry and dense: worth carrying far        | about 70% water: heavy for their value                                      |

- Farmers choose their crop. Where only cereals grow, they are exposed. Where only roots and tubers grow, there is little to take. Where both grow, farmers plant cereals only if cereals out-yield roots by enough to cover what the tax collector takes  $\Rightarrow$  some farmers grow the less productive crop to keep it.
- The same holds for governments today: they spend what they can tax, and some income is much easier to tax than other income.

### 14. The evidence

- Maps of pre-industrial societies (Murdock’s *Ethnographic Atlas*, mostly recorded 1800–1950) show states clustered where cereals were the main crop. In Africa, political hierarchy follows the cereal-growing belts, and the root-and-tuber zone of central Africa (today’s Democratic Republic of the Congo) has little.
- Share of societies that were states, by main crop: none of the 231 with no agriculture; 6.1% of the 229 that grew roots and tubers; 7.5% of the 80 that grew tree fruits; 15.3% of the 574 that grew cereals.
  - Most cereal societies were not states either. The claim is about probabilities: cereals make a state more likely, not certain.
- But a crop is a choice. Maybe chiefs came first and made farmers grow grain they could tax. So the authors let things nobody chose decide:
  - **Soil and climate**: how far cereals would out-yield roots and tubers on each piece of land.
  - **Wild relatives** of domesticated crops, a proxy for what could be domesticated where. (Wild maize looks little like the corn we eat.) Wild cereals are most concentrated in the Fertile Crescent, where the first city-states arose; much of South America and sub-Saharan Africa had roots and tubers instead.
  - **Where farming was invented**: almost every city founded before 500 BC lies where farming began with cereals (the Fertile Crescent, the Yellow River valley in northern China). None lies where it began with roots and tubers, except one in the Andes.
  - **The Columbian Exchange** as a natural experiment: after 1500, crops from the Americas (maize, potatoes, cassava) changed which crop had the advantage on each piece of land. Hierarchy followed the cereal advantage, not land productivity.
- The result: once the cereal advantage is accounted for, land productivity has no link with hierarchy. The authors grant that no single test is conclusive (the *Atlas* was recorded long after the Neolithic, and unobserved geographic factors could matter), which is why they run so many different ones.
- Geography matters here without being destiny: it shapes transport costs and which crops can be taxed, and societies with roots and tubers are not condemned to stay poor.

### 15. Grain, Scott, and escape crops

- James C. Scott, *Against the Grain* (2017): “It is surely striking that virtually all classical states were based on grain, including millets. History records no cassava states, no sago, yam, taro, plantain, breadfruit, or sweet potato states. (‘Banana republics’ don’t qualify!) My guess is that only grains are best suited to concentrated production, tax assessment, appropriation, cadastral surveys, storage, and rationing.”
- Taxing a harvest requires knowing its size. In Egypt the harvest depended on the height of the Nile’s annual flood, which officials measured with nilometers  $\Rightarrow$  a cheap estimate of the tax base, and a check on tax collectors who

reported too little.

- **Escape crops:** farmers who want to keep their harvest choose crops the state cannot take.
  - During the Dutch wars against Spain, villagers on the Spanish army’s route left their potatoes in the ground and dug them up as needed; foraging parties took the grain in the barns (McNeill).
  - The hill peoples of upland Southeast Asia stayed out of the rice-growing valley states with roots, tubers, and shifting fields (Scott, 2009).
  - Malawi today: women, single women above all, choose bitter varieties of cassava, which must be processed before they can be eaten; thieves take the sweet kind (Chiwona-Karlton et al., 2002).
- People still hide output from the tax collector, and the tax authority still tries to find it.

## 16. Does AI change appropriability?

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- Two kinds of production. **Market production** is paid, taxed, and counted in GDP. **Household production** (cooking, cleaning, childcare, homeschooling, repairs) is unpaid, untaxed, and left out of GDP.
- The first way to avoid taxes is not fraud but not producing for the market. Americans work more paid hours than Europeans, who face higher taxes, but Europeans do more of their own household work; counting both, the gap largely disappears (Freeman and Schettkat, 2005). Americans are more likely to eat out, hire help, or have groceries delivered.
- AI may be the roots and tubers of our time. Fixing a dishwasher with a photo and an AI assistant replaces a repair call, and asking a chatbot about a sick child can replace a trip to urgent care. The AI subscription is a taxed market transaction, but it costs far less than the service it replaces. And AI runs on every laptop and phone, which makes it hard to monitor.
- If AI raises household output more than market output, total production grows faster than the tax base. People may even choose a less productive option to stay out of the market, as farmers chose roots over wheat.
- A policy implication: the argument that AI-driven growth will make today’s public debt easy to repay assumes the growth can be taxed.

## 17. Theories of the origin of the state

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| Theory                                 | The argument                                                                  |
|----------------------------------------|-------------------------------------------------------------------------------|
| Surplus (Childe, Diamond)              | food beyond farmers’ needs supports rulers, soldiers, and scribes             |
| War making (Tilly, 1985)               | rulers eliminate rivals and tax to pay for war, in early modern Europe        |
| Appropriability (Mayshar et al., 2022) | crops that can be found, seized, and stored support a tax-taking elite        |
| Contract (Hobbes, Buchanan)            | agreement can justify authority, without describing how states actually began |

## Friday, October 2: The social contract

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Monday and Wednesday asked how states arose; Friday asked what could justify one. James Buchanan's answer is contractarian: rules are legitimate if everyone who lives under them could agree to them. In anarchy, nobody agrees on who owns what, so people waste resources attacking one another and defending against attack. Both sides gain from a contract that settles rights and limits arms, and they gain again by trading within those rights. The contract leaves one problem unsolved: whoever enforces the rules is strong enough to break them.

### 18. The footbridge

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- Howard Pyle, *The Merry Adventures of Robin Hood* (1883). Robin and a stranger meet on a log bridge wide enough for one man. Neither will give way, and they fight with quarterstaves until Robin falls into the stream. Robin then offers the stranger a place in his band, with three suits of Lincoln green a year and a share of whatever they take; the stranger accepts and becomes Little John. A fight settles who is stronger, and a contract follows.
- Buchanan, *The Limits of Liberty* (1975, p. 12): “Robin Hood and Little John meet squarely in the center of the one-man footbridge. What ‘natural’ rule is there to determine who shall be entitled to proceed and who shall withdraw? [...] The genuinely anarchistic world becomes a maze of footbridges, and conflict rather than universalized cooperation is its central feature.”
- Without agreed rights there is no such thing as theft. If I take your computer and say it was mine all along, we are not disputing a theft; we are disputing a claim, and nothing settles it but force.
- Compare David Friedman (Week 6), for whom people settle such claims through Schelling points. Buchanan thinks that works for small things and fails when the stakes are high.

### 19. Social contracts that were signed

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- A **social contract** theory holds that the state's authority rests on the agreement of the people it governs. It is easy to dismiss: nobody alive signed one. Peter Leeson (2009) calls that dismissal “the myth of the myth of social contract,” because people have, in fact, written and signed such contracts.
- The Mayflower Compact. In November 1620, 41 men aboard the Mayflower signed a compact to “combine ourselves together into a civil body politic.” The body would make laws and establish offices for the general good of the colony, and the signers promised “all due submission and obedience.” The compact also professes loyalty to King James: it set up a body politic under the English crown, not an independent state.
- The wagon companies that crossed to Oregon and California in the 1840s and 1850s wrote their own constitutions too (Week 6).
- Pirates (Leeson, 2009). A typical crew had 80 to 250 men living on one ship, so it needed rules to keep the peace and to fight well enough to take a prize. A volunteer who joined a crew agreed to its written articles. Under the articles:
  - “Every Man has a Vote in the Affairs of Moment.” The crew elected its captain by majority and deposed him when he served it badly; one crew went through 13 captains in a single voyage.
  - Power was divided. The captain commanded in battle. An elected quartermaster distributed provisions and loot, punished offenses, and settled disputes, a check on the captain.
  - Boarding a ship is a prisoner's dilemma: each pirate gains if the others go first and take the risk, but if everyone hangs back there is no prize. The articles paid compensation for injuries out of the common stock before the loot was divided (Bartholomew Roberts's articles promised 800 dollars for a lost limb), and some paid bonuses for courage or for spotting a prize first. Both lowered the private cost of fighting hard.
- Limits: some crews forced skilled sailors to serve, and the victims of piracy agreed to nothing. The articles show that people can write a constitution among themselves, not that piracy was a just order.

### 20. Did anyone sign the social contract?

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- Locke's answer is **tacit consent**: anyone who enjoys the protection of a government's laws, even by traveling on its roads, consents to them (*Second Treatise*, §119). In its crude form: if you don't like the country, you can leave.
- Hume, “Of the Original Contract” (1748): “Can we seriously say, that a poor peasant or artizan has a free choice to leave his country, when he knows no foreign language or manners, and lives from day to day, by the small wages which he acquires? We may as well assert, that a man, by remaining in a vessel, freely consents to the dominion of the master; though he was carried on board while asleep, and must leap into the ocean, and perish, the moment he leaves her.”
  - The force of Hume's objection depends on the cost of leaving. Where exit is cheap, staying says more. Behind the Iron Curtain before 1989, where emigration was mostly forbidden, it says almost nothing.

- Lysander Spooner, *No Treason*, No. VI (1870): “The Constitution has no inherent authority or obligation. It has no authority or obligation at all, unless as a contract between man and man.” Even if your grandparents signed, you did not.
- Both objections attack actual consent. Buchanan’s theory does not rely on it.

## 21. Buchanan’s contractarianism

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- James M. Buchanan (1919–2013), Nobel Prize in economics, 1986, and a founder of **public choice**: the use of economics to study politics. He summed up the approach in two ideas, both in next week’s reading, “Politics without Romance”:
  - People in politics are the same people as in markets, with the same motives. It makes no sense to treat them as self-interested when they buy and sell and as benevolent once they hold office.
  - Politics is also exchange: people bargain within the political system to make one another better off.
- Agreement is a **test** for rules, not a claim about history: could everyone who lives under these rules agree to them? Buchanan (1975, p. 66) says plainly that his contract is not a description of how states began.
- Why **unanimity**? Society does not have preferences; only individuals do, so there is no direct way to say a rule is good “for society.” A rule everyone agrees to is one everyone expects to gain from. Buchanan took this test from the Swedish economist Knut Wicksell (1896).
- Unanimity applies to the rules, not to every decision made under them. People can agree unanimously to rules that settle ordinary questions by majority vote, as the pirate crews did.
- Agreement on general rules is easier when people cannot tell where they will end up (Buchanan and Tullock, *The Calculus of Consent*, 1962). John Rawls’s veil of ignorance (1971) is a different, stronger idea.
- Buchanan’s question: how do we get out of the Hobbesian jungle without falling prey to a predatory Leviathan?
- He calls himself an **individualist**: not a defender of selfishness, but someone who holds that individuals’ rights come before any social goal. To an individualist, the ideal world is an anarchy in which “No man holds coercive power over any other man” (p. 5). Buchanan calls that ideal “a conceptual mirage.” He was an anarchist in philosophy, not in practice.

## 22. The natural distribution and the disarmament contract

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- “Anarchy works” (p. 7) for small stakes, where people accept rules nobody enforces: they pass one another on the sidewalk and wait their turn in line. It fails when claims collide and both sides think they are in the right. A quarrel between neighbors over a tree that shades the yard is a nuisance; the same quarrel over land or water can turn violent.
- Enforcement is easier in small groups. Two neighbors can each retaliate against the other. In a large town, a thief expects others to keep the rules, and nobody wants to bear the cost of organizing his punishment.
- The **natural distribution**. If I buy a gun to defend my land, or perhaps to take yours, you buy one too; then I buy a bigger one. Each person’s effort at attack and defense is a best response to the other’s (a **reaction function**), and the two settle where the best responses meet. That equilibrium is a state of conflict, not of equality: the stronger hold more.
- Both would be better off spending less on arms and more on production. Buchanan (pp. 76–77): “The most basic contractual agreement among persons should [...] be the mutual acceptance of some disarmament. [...] The two persons accept limits to their own freedom of action, to their own liberty. The first leap out of the anarchistic jungle has been taken.”
- The bargain starts from the natural distribution, not from equality. A weaker party who gains little from disarming may need a transfer before he signs.

## 23. The two stages

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- Buchanan’s Figure 2.2 plots the utility of person A against the utility of person B:
  - D, the natural distribution;
  - $D \Rightarrow C$ , the **constitutional contract**: agreement on who owns what. Both gain, because both stop spending on attack and defense;
  - $C \Rightarrow E$ , **postconstitutional** exchange: once rights are settled, people trade within them and gain again.
- Buchanan (p. 40): “Economists have concerned themselves almost exclusively with the latter to the neglect of the former.”
- The move out of D matters far more than where exactly C lands. Asked in class: what if C turns out unequal? The diagram does not fix the division; it is bargained, and it reflects each side’s strength in anarchy. What would

undo the contract is an enforcer who takes from one side and pushes it back toward D.

|           | Choosing the rules (constitutional stage)          | Playing the game (postconstitutional stage)         |
|-----------|----------------------------------------------------|-----------------------------------------------------|
| Baseball  | three strikes, four balls, and who umpires         | who wins today's game                               |
| Property  | who owns what, and no taking without consent       | buying, selling, hiring                             |
| Politics  | how laws are made, and what the state may never do | this year's taxes, roads, and schools               |
| The state | the umpire: the protective state                   | a club that buys public goods: the productive state |

- Politics also has a postconstitutional stage. Members of Congress trade votes and favors: exchange without prices or profit, but exchange nonetheless.
- The **protective state** is the umpire: it enforces the rules agreed at the constitutional stage. The **productive state** is a club through which people buy public goods together.

## 24. Who defines rights?

- The anarchist challenge (Rothbard; David Friedman, Week 6): competing private agencies could protect rights better than a monopoly state. Insurance companies that pay for damage have a reason to prevent it and might hire their own guards. Private security already exists in shopping malls, theme parks, and gated communities.
- Buchanan's reply: the argument assumes rights are already defined. Before anyone can call something theft, trespass, or breach of contract, people must recognize who owns what. On Rothbard (p. 9 n. 2): his approach "fails to come to grips with the problem of defining rights initially." Private agencies belong to the postconstitutional stage.
- Defining rights is different from enforcing them (p. 88): "To say that rights are defined by the state is equivalent to saying that the referee and not the players chooses both the initial division of the marbles and the rules of the game itself." And (p. 121): "It is bad baseball when the catcher is required to umpire."
- Two anarchist replies:
  - Rights are **natural**: reason discovers them, as Locke's law of nature did, so no agreement is needed to define them (Rothbard).
  - Rights **evolve** as conventions nobody signed: Schelling points, the whalers' rules (Friedman, Week 6), or Hume's two rowers who pull together "tho' they have never given promises to each other." Whether the state or competing agencies then protect those rights better is an empirical question; Friedman claims only that some workable anarchy could exist, not that every one would.
- Buchanan remains a Hobbesian: there are no rights before agreement. However rights first arose, agreement is the test for judging them.

## 25. Who keeps the bouncer honest?

- Buchanan (pp. 17–18): "If, however, the collectivity is empowered to enforce individual rights, how is it to be prevented from going beyond these limits? [...] How can Leviathan be chained?"
- An enforcer strong enough to protect your rights is strong enough to take them. Those who hire one "necessarily surrender their own independence" (p. 87). This was the American founders' chief worry; Madison's answer (*Federalist* No. 51) is to "oblige it to control itself."
- Asked in class: is the social contract a covenant, a relationship in which rulers keep their authority only as long as they keep their side of the bargain? Hobbes himself calls the agreement a "covenant." Locke draws the conclusion: rulers who try to take the people's property put themselves into a state of war with the people, who are then "absolved from any farther obedience" (*Second Treatise*, §222). Pirate crews deposing a captain did the same on a small scale.

## 26. Two theories of the state

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|             | Olson                                             | Buchanan                                            |
|-------------|---------------------------------------------------|-----------------------------------------------------|
| Question    | How does a state arise and behave?                | What rules could everyone agree to?                 |
| Explanation | A stationary bandit monopolizes extraction        | Agreement supplies a standard for judging authority |
| Benefit     | A lasting ruler has reason to preserve production | Agreed rights reduce spending on conflict           |
| Problem     | A ruler's interest need not match the public's    | Who restrains the enforcer?                         |

- Olson explains how states arose and how rulers behave. Buchanan offers a standard for judging rules. Both end at the same problem: whoever is strong enough to enforce the rules is strong enough to break them.